macroeconomic adjustment: the underlying problem that was driving the change in the price persists.

Demand curves slope downward and supply curves slope upward

When the price goes up, less is demanded (‘demand curves slope downward’). When the price goes up, more is supplied (‘supply curves slope upward’). People are rational and change their behaviour. At a higher price, there is more supply and less demand.

Example 7: Minimum support price (MSP)

If a government announces a high minimum support price (MSP), farmers will see the prospect of higher profits per kilogram of output. They respond to this high price by spending more on inputs. These inputs include sown area, electricity to pump water, fertilizer, insecticides, etc.

Hence, after MSPs are raised, we get a supply response. There is a surge of production. Now there are exactly two possibilities. Either the government will succeed in running a purchase operation all across the country, to buy this enhanced production at the promised MSP, and put it away in warehouses. Alternatively, the government lacks the administrative ability to buy the product, and this glut will reach the market, where supply and demand make the price, and result in a crash in prices. [1]

This yields a teachable example of unintended consequences in public policy. The government raises MSPs because it thinks this will make farming more remunerative, but this yields a crash in prices and farmer profitability.